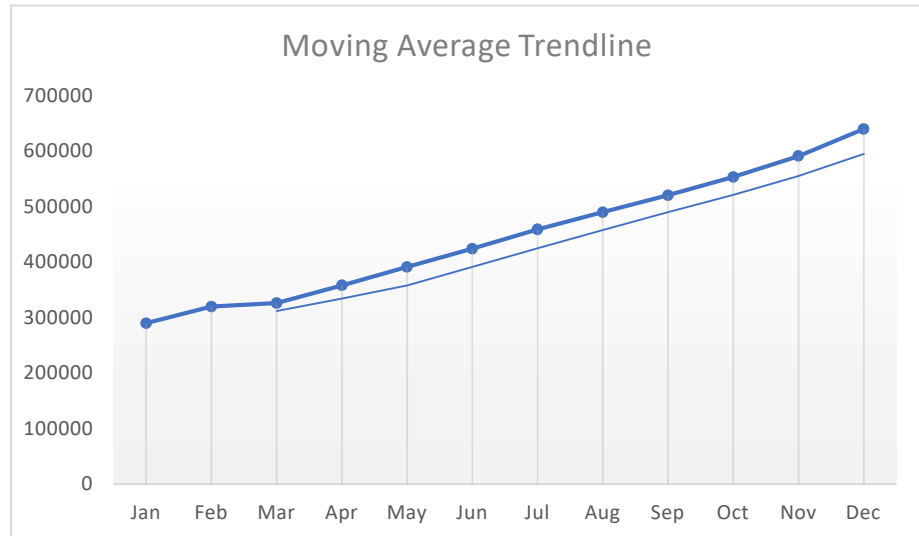


Row Labels	Sum of Sales (₹)
Jan	290000
Feb	320000
Mar	326000
Apr	358000
May	391000
Jun	424000
Jul	459000
Aug	490000
Sep	520000
Oct	553000
Nov	591000
Dec	640000
Grand Total	5362000



Problem 5 — Moving Average Trendline Business Requirement

Monthly sales can contain short-term fluctuations. Management wants a smoother representation of the underlying

1. Why might a moving average be more useful than looking only at individual monthly values?

Individual monthly sales tell you: What happened in each month?

Moving average tells you: What is the underlying direction of performance?

Consider:

MonthSales

Jan₹290K

Feb₹320K

Mar₹326K

Apr₹358K

May₹391K

Looking at individual values gives you 5 separate numbers.

The moving average converts those numbers into a smoother trend.

"The 3-month moving average shows a consistent upward trajectory throughout the year, increasing from approximately ₹312K in March to ₹595K in December. This confirms that the company's sales growth is not simply the result of isolated monthly fluctuations. The strongest acceleration occurs toward the end of the year, particularly from November to December. The moving average provides a smoother view of the underlying sales trend, making it easier for management to identify sustained growth and distinguish it from short-term fluctuations."